



Time: 5 minutes

Outcome: Evaluate policies affecting long-run productivity and growth.

Difficulty: Intermediate

Economic Growth Policy

THE CORE IDEA

Long-run growth policy raises productive capacity rather than current spending alone. Saving and reliable finance support capital formation; education builds human capital; research and competition can advance technology. Stable property rights and institutions make firms more willing to invest. Because physical capital faces diminishing returns, sustained growth usually depends on several of these channels working together.

HOW TO RECOGNIZE IT

- The policy changes capital formation, human capital, technology, or institutions.
- The question distinguishes productive capacity from a temporary demand increase.
- Reliable finance and property rights affect whether saving becomes productive investment.
- The proposed change can raise output per worker over time.

WATCH OUT

Do not treat a one-time demand boost as a substitute for policies that raise productive capacity. Long-run growth policy works through productivity, capital formation, human capital, technology, and institutions.

WORKED EXAMPLE: EVALUATING A GROWTH POLICY

A government compares a temporary shopping rebate with worker training and reliable electricity for firms. The rebate can raise current spending, but training can improve skills and reliable power can reduce lost production. For long-run growth, evaluate the latter policies by their likely productivity gains, resource costs, implementation quality, and time to deliver results.

CHECK YOURSELF

Why might worker training raise long-run productive capacity while a temporary shopping rebate mainly changes current demand?